

We recently notified you that it's time to review your options for the new plan year -- here's the information you need for your group to enroll in the new plan year.

Consider your plan options

The table below shows the new rates for your next plan year:

Plan 1

	Employee	Employee & Spouse	Employee & Child(ren)	Family	Monthly Total
Number of employees with coverage	28	7	5	10	50
Your current rate	\$281.23	\$717.10	\$548.37	\$927.99	\$24,915.89
Your new rate	\$263.73	\$672.49	\$514.26	\$870.28	\$23,365.97
Percentage change	-6.22%	-6.22%	-6.22%	-6.22%	-6.22%

Open Enrollment period for the new plan year

Your open enrollment period begins 30 days prior to your December 1, 2022 effective date.

Employees and dependents must submit their completed enrollment forms no later than December 1, 2022. Enrollment forms will not be accepted after the effective date unless the enrollee has a Qualifying Life Event. Employees who do not submit their enrollment forms by the due date will not be eligible for coverage until the next open enrollment period.

Please review all of the attachments, including the new plan offer. If this plan design no longer fits your needs, please contact your agent to discuss alternative options that may be available for your group.

Insured: **JOHNSTONE SUPPLY THE WALLACE GROUP**
 Policy Term: 12/1/2022 - 11/30/2023
 Program Manager: Allstate Benefits

NAICS Code: 333414
 Domicile Zip Code: 18045

Allstate Benefits Level Funded Self-Insured Program

Surplus Refund (50% or 100%) 50%
 Aggregate Excess Limit Unlimited
 Contract Basis 12/21
 Retirees Included No
 Specific Deductible \$100,000
 Aggregate Deductible 120%
 Terminal Liability Option Included, Auto Trigger

Plan ID: 082099IQRDQBYY

	Census Lives	Stop Loss Premium Rates	Claims Account Funding	Administrative Fees	Premium Equivalent Rates
Employee	28	\$142.47	\$114.70	\$6.56	\$263.73
Employee & Spouse	7	\$363.29	\$292.48	\$16.72	\$672.49
Employee & Child(ren)	5	\$277.81	\$223.66	\$12.79	\$514.26
Employee & Family	10	\$470.14	\$378.50	\$21.64	\$870.28
Monthly Totals	50	\$12,622.64	\$10,162.26	\$581.07	\$23,365.97

Total Quoted Lives 50

Contract Period:

Stop Loss Premium Rates \$151,471.68
Administrative Fee Funding \$6,972.84
Expected Claims Projection \$101,622.60
Maximum Claims Funding \$121,947.12
Expected Annual Cost* \$260,067.12
Maximum Annual Cost \$280,391.64

* Please refer to Page 2 for additional information regarding the program's Delayed Administrative Fee ("DAF"), if applicable.

Plan Assumptions

TPA Allied Benefit Systems, LLC
 Network Core Value
 Aggregate Accommodation Included
 Rx Rebates \$15 PEPM Rx rebate credit has been applied to the administrative fees
 Wellness Program No

This offer is subject to the terms indicated on page 2 of this proposal.

This offer is Firm and Final if a signed copy of the Proposal is returned by 10/31/2022.

Insured: JOHNSTONE SUPPLY THE WALLACE GROUP
Policy Term: 12/1/2022 - 11/30/2023

Our offer is based upon the assumptions, limitations, and requirements listed below:

- 1 Terms, including premium rates, are subject to change should the number of enrollees decrease by 10% or more, either in total and/or by single/family mix.
- 2 This is not an insurance contract, nor does it guarantee coverage or effective date.
- 3 I understand that for the purposes of this proposal, "Allstate Benefits" refers to the stop loss policy underwritten by Integon National Insurance Company in CT, NY and VT; Integon Indemnity Corporation in FL; and National Health Insurance Company in WA, CO, and all other states where offered.
- 4 All standard Policy provisions apply. The laws of the state where the policy is issued will apply. For a complete listing of benefits, exclusions, and limitations, please refer to the summary plan description (SPD) and stop-loss policy. In the event that there are discrepancies with the information on this proposal, the terms and conditions of the coverage documents will govern.
- 5 Any stop loss policy issued by us may be rescinded if any information requested in connection with this proposal was intentionally concealed or misrepresented by or on behalf of the Applicant, or if the Applicant commits fraud.
- 6 On the effective date of the Policy, all employees must be actively at work to be covered under the Policy. Dependents must not be confined in a facility or disabled. Exceptions will be excluded from the Policy. Waiver or modification of this qualification is subject to receipt, evaluation and approval of full and complete disclosure.
- 7 As plan sponsor, I acknowledge that I am responsible for funding of all Federal and State mandated fees applicable to the plan, which are subject to change. This proposal does not reflect any applicable State or Federal fees, including, but not limited to the following: Patient Centered Outcomes Research Institute (PCORI) fee, New York Health Care Reform Act Assessment Fee, Maine Vaccine Board Surcharge, Idaho Immunization Assessment, and New Hampshire Vaccine Assessment.
- 8 Agents are compensated for the sale of insurance products. Compensation may be based on several factors as permitted by law, including, but not limited to, the total premium or premium equivalent collected from the group; group size; the number of employees or participants; the type of products sold; sales production tiers or a combination thereof. At times, additional compensation may be offered to agents based on short and/or long term marketing promotions. I agree that the sales expense amount built into the administrative expenses shall be payable to the agent/broker listed above for the first year of my participation in the Program.
- 9 Our approval is subject to receipt of Disclosure, Claim Information and any other information requested in connection with this proposal including but not limited to a completed Disclosure Form, Application, first month's payment, signed proposal, final census, and any other required information as stated under the Assumptions or Individual Special Requirements. Such information must be received prior to the proposed effective date. Information contained on the Disclosure Form should be current up to the date of signature, and be completed in its entirety. Failure to do so will result in approval being denied or delayed until a later effective date.
- 10 This proposal assumes a minimum participation level of 75% applies for all eligible enrollees under a contributory plan, and 100% under a noncontributory plan (exception applies for waivers).
- 11 A valid waiver is the documented election of an eligible employee to decline group coverage because they have enrolled in a Spouse's Comprehensive or Major Medical Group Plan, other Group Coverage, Medicare Part B, Medicaid, or TRICARE.
- 12 I understand that any termination of the stop loss coverage prior to the end of the plan year will result in forfeiture of any funds remaining in the claims account, for purposes of administration costs associated with claims that are processed after the early termination date.
- 13 By signing the below, JOHNSTONE SUPPLY THE WALLACE GROUP agrees to make all monthly payments as indicated above including those for stop loss premium, plan administration, sales and general expenses and claim account payments, as adjusted for changes in the composition of the employer health plan. This obligation is binding upon JOHNSTONE SUPPLY THE WALLACE GROUP and the stop loss insurer's acceptance of this or an updated proposal for self-funded coverage services, as well as issuance of a stop loss policy by the insurer. Any failure to make all payments or pay required stop loss insurance premiums may result in cancellation of stop loss coverage to the JOHNSTONE SUPPLY THE WALLACE GROUP self-funded plan and/or liability against JOHNSTONE SUPPLY THE WALLACE GROUP for any unfunded claims incurred under the JOHNSTONE SUPPLY THE WALLACE GROUP self-funded health plan. I agree on behalf of JOHNSTONE SUPPLY THE WALLACE GROUP to indemnify the stop loss insurance company and
- 14 For groups with a 0, 30, or 60 day employment waiting period, new eligible employees and their dependents, upon satisfaction of the employment waiting period, are eligible for the following effective date: First day of the billing month following the date of full-time employment, when the enrollment request is received within 31 days of such date. For groups with a 90 day employment waiting period, newly eligible employees and their dependents, upon satisfaction of the employment waiting period, are eligible for the following effective dates: The 90th day following the date of full-time employment, when the enrollment request is received within 31 days of the expiration of the employment waiting period.
- 15 This proposal is subject to revision if there is a change in effective or reissue dates, or a change in the plan of benefits.
- 16 This program includes Utilization Review requirements. See SPD for details.
- 17 All active full-time employees working at or above the minimum number of hours per week set by you are eligible. Retirees and COBRA beneficiaries are eligible only if you have requested they be covered, and have disclosed them on the census.
- 18 I will be held as a plan sponsor for the proposed self-funded employee benefit plan that may be established as a result of this or an updated proposal.
- 19 If I, as a plan administrator with 100 or more participants, am required to file a Form 5500, I may contact the TPA and I will be provided information needed to file a Schedule A. I also understand that some plans under 100 participants must file a Form 5500. This information should not be construed as legal or tax advice from Allstate Benefits.
- 20 I acknowledge I should contact my legal counsel and/or tax advisor if I have any questions regarding the obligations set forth above.
- 21 This quote must be presented by a state-licensed agent and is subject to approval.
- 22 I decline the Vitality wellness program offered by Allstate Benefits.
- 23 The Maximum Annual Cost is subject to revision due to changes in the census of enrolled individuals pursuant to rates and factors on the signed proposal.

Continued on next page

- TLL** Plan includes Terminal Liability Coverage for 24 months after the end of the plan year. If claims are less than the aggregate deductible at the end of the plan run-out period, a terminal liability reserve charge will be taken by Allstate Benefits in an amount no greater than 3% of the aggregate deductible.
- DAF:** If claims are less than the aggregate deductible at the end of the run-out period the employer will receive 50% of the claims account balance.
- Note:** Allstate Benefits reserves the right to recalculate the aggregate attachment point and premium if the average of the last 2 months of claims in the current policy period varies by more than 10% from the average monthly claims for the first 10 months of claims in the current policy period.
- Note:** With the Core Value plan, there is no participating provider network, except for purposes of pharmacy benefits and transplant services. The appropriate level of payment for covered charges is determined in accordance with a multiple of the applicable Medicare reimbursement rate or other derived equivalent, as set forth in the plan. I understand that plan participants may be balance-billed for charges in excess of the covered charges, and that the Member Advocacy Program may be available to assist in negotiating such bills following notification of such charges. To the extent the Member Advocacy Team negotiates an additional payment, I understand such payment will be paid from the claims account. I understand the Member Advocacy Program will only be available until the end of the run-out period, taking into account the terminal liability endorsement, if applicable.

EMPLOYER PLAN SPONSOR ACCEPTANCE

By signing below, JOHNSTONE SUPPLY THE WALLACE GROUP acknowledges acceptance of rates and factors quoted in the Proposal for the elected offer and the terms as delineated above and further acknowledges that all material facts and conditions as previously stated remain unchanged. JOHNSTONE SUPPLY THE WALLACE GROUP acknowledges that data provided by JOHNSTONE SUPPLY THE WALLACE GROUP or its representatives is accurate and complete.

Printed Name and Title

JOHNSTONE SUPPLY THE WALLACE GROUP
Policyholder

Date

Policyholder Officer's Signature

Benefit Summary

Business Name: JOHNSTONE SUPPLY THE WALLACE GROUP
 Proposal Creation Date: 10/18/2022 Proposed Effective Date: 12/1/2022

Plan 1 - 082099IQRDQBYY

Plan type:

The Core Value plan allows members to see any provider of their choice; there is no network. This plan uses a multiple of the Medicare allowable amount as the basis for reimbursement of providers and facilities.

Medical Network	Not applicable
Individual Deductible	\$5,000
Family Deductible	\$10,000
Family Deductible Accumulation Method	Individual/Family deductible
Plan Coinsurance Percentage (Plan pays)	70%
Individual Coinsurance out-of-pocket maximum (family coinsurance out-of-pocket maximum is 2x the individual coinsurance out-of-pocket maximum)	\$1,450
Total Individual out-of-pocket maximum	\$6,450
Total Family out-of-pocket maximum	\$12,900
Lifetime Benefit Maximum	No maximum
Office Visit (does not require a referral)	Deductible and coinsurance
MeMD® Urgent Care: U.S. board-certified doctors and medical providers are available 24/7/365 to diagnose, treat and prescribe medication (when necessary) for many minor illnesses and injuries via phone or online video visits. Talk Therapy: Licensed therapists can help with a wide range of mental and emotional health needs. Receive ongoing support, on your schedule, from the comfort and privacy of your own home via phone or online video visits in as little as 48 hours.	\$38 per visit for Urgent Care or Talk Therapy
Pharmacy Benefit Manager (PBM)	CIGNA
Prescription Drugs When generic is available, but a non-preferred brand is purchased, the member will be responsible for the difference in price. (Mail order services included)	Deductible and 70% for generic 70% for brand 50% for non-preferred brand
Clinical Preventive Services Services recommended by the U.S. Preventive Services Task Force (USPSTF) including routine physical exams, associated imaging and laboratory services such as mammograms and PSA tests, well-child exams and immunizations	Paid at 100% - no deductible, coinsurance

Benefit Summary

Business Name: JOHNSTONE SUPPLY THE WALLACE GROUP
 Proposal Creation Date: 10/18/2022 Proposed Effective Date: 12/1/2022

Urgent Care Visit	Deductible and coinsurance
Diagnostic X-Ray and Laboratory services	Deductible and coinsurance
MRI, CT scan, PET scan Ultrasound, EKG, chemotherapy, radiation therapy, dialysis and BRCA	Deductible and coinsurance
Emergency Room Treatment	Deductible and coinsurance
Subject to a 30% penalty for non-emergency use	Deductible and coinsurance
Maternity	Deductible and coinsurance
Outpatient Physical Medicine Includes physical, speech and occupational therapies, cardiac and pulmonary rehabilitation, treatment for development delay and Chiropractic care.	Deductible and coinsurance limited to 30 visits
Home Health Care	Limited to 60 days
Subacute Rehabilitation and Nursing Facility Services	Limited to 31 days combined
Inpatient Rehabilitation Services	Limited to 31 days
Transplants Covered the same as any other service when performed by a designated provider.	Deductible and coinsurance
Behavioral Health and Substance Abuse for groups with 50 employees and less.	Inpatient: limited to 30 days. Inpatient and Outpatient: subject to deductible and 50% coinsurance. Outpatient: limited to 40 visits.
Behavioral Health and Substance Abuse for groups with 51 or more employees.	Inpatient and Outpatient: subject to plan deductible and plan coinsurance.
Inpatient and Outpatient Hospital*, Physician Services, Maternity Care, Ambulance, Durable Medical Equipment, and most other covered services	Deductible and coinsurance

Allstate Benefits
Plan Sponsor Disclosure Statement and Contract Addenda

JOHNSTONE SUPPLY THE WALLACE GROUP

Before Allstate Benefits issues an excess loss policy on behalf of JOHNSTONE SUPPLY THE WALLACE GROUP, Allstate Benefits requires JOHNSTONE SUPPLY THE WALLACE GROUP to disclose details on all Covered Persons who meet any of the following criteria: (Covered Person means employee, dependent, retiree, COBRA beneficiary, or any current or former employee or their dependents who are within the COBRA election period at the time this Disclosure Statement is signed).

1. Covered Persons who incurred charges over \$10,000 during the 12 months preceding the requested effective date, regardless of whether such charges were paid, pending or denied by JOHNSTONE SUPPLY THE WALLACE GROUP, and/or Covered Persons who are expected to incur charges in excess of \$10,000 in the next 12 months.
2. Covered Persons who are currently confined in a hospital or other institution, or who have been confined in a hospital or other institution within the earlier of one month before the effective date or one month before the signing of this Disclosure Statement.
3. Employees who are absent from work due to illness or injury on the date this report is signed and any Covered Person who is disabled on the date this report is signed.
4. Covered Persons who have a known diagnosis which might be expected to lead to a claim exceeding \$10,000 and Covered Persons who have been diagnosed with any of the conditions listed on the attached page.
5. Covered Persons who have elected COBRA including date and nature of qualifying event.
6. Covered Persons for whom a Prior Authorization or a Pre-Certification or a Step Therapy Request for any Gene Therapy treatments including, but not limited to, those used for adult B-cell non-Hodgkin's lymphoma, childhood acute lymphoblastic leukemia, spinal muscular atrophy, or retinal degeneration, or any Covered Person who is expected to initiate or complete a course of treatment with KYMRIAH (tisagenlecleucel), LUXTURN A, PROVENGE (sipuleucel-T), TECARTUS (brexucabtagene autoleucel), YESCARTA (axicabtagene ciloleucel) or ZOLGENSMA.

If submitting attachments, please specify title of attachment and number of pages attached.

Name	EE/Dependent	COBRA	Birth Date	Date Disabled	Disability/Diagnosis	Prognosis	Benefits Paid or Due (\$)

JOHNSTONE SUPPLY THE WALLACE GROUP warrants the above list is true, complete and accurate to the best of its knowledge. JOHNSTONE SUPPLY THE WALLACE GROUP acknowledges that if subsequent information becomes known which if known prior to the effective date of this policy would have affected the rates, deductibles, terms or conditions for coverage hereunder, Allstate Benefits has the right to revise the rates, deductibles, terms or conditions as of the effective date. JOHNSTONE SUPPLY THE WALLACE GROUP further warrants that in order to complete this Disclosure Statement it has consulted with its Carrier, TPA, Broker, Human Resources Department, Pre-Certification Vendor, Large Case Management Vendor, Disease Management Vendor and Utilization Review Vendor to ensure that the information provided in this Disclosure Statement is accurate and complete. JOHNSTONE SUPPLY THE WALLACE GROUP acknowledges and agrees that previously or subsequently submitted documentation (e.g. a "claims exceeding \$10,000" or claim filing) does not satisfy or alter the need to complete this Disclosure Statement or the consequences of failing to disclose a Covered Person that should have been listed on this form.

JOHNSTONE SUPPLY THE WALLACE GROUP further acknowledges, understands and agrees that this information will be used by Allstate Benefits in evaluating and determining the acceptability of JOHNSTONE SUPPLY THE WALLACE GROUP's risk and that no coverage shall be provided for any charges incurred by a person listed on this form unless specifically agreed to in writing by Allstate Benefits. If claims are submitted for any Covered Persons who meet the criteria as outlined above in numbers 1 through 5 as of the date of this statement and this Covered Person was not disclosed to Allstate Benefits on this form, then no coverage will be provided for charges incurred by that Covered Person by JOHNSTONE SUPPLY THE WALLACE GROUP.

Plan Sponsor: JOHNSTONE SUPPLY THE WALLACE GROUP

Address: _____

Authorized Signature: _____

Print Name: _____

Title: _____

Date of this Statement: _____

Allstate Benefits
Plan Sponsor Disclosure Statement and Contract Addenda

**AUTOIMMUNE
DISORDERS**

AIDS
cytomegalovirus
Kaposi's sarcoma
pneumocystis carinii
pneumonia

BLOOD DISORDERS

clotting disorders
cystic fibrosis
hemophilia
sickle-cell anemia

CANCER - any type

CIRCULATORY SYSTEM

aneurysm – any site
cardiomyopathy
cardiovascular disease
cerebrovascular accident
(stroke)
congestive heart failure
coronary artery disease
hemorrhage – any kind
malignant hypertension
myocardial infarction
peripheral vascular disease

DIGESTIVE SYSTEM

cirrhosis
Crohn's disease
hepatitis
liver failure
pancreatitis
ulcerative colitis

EATING DISORDERS

anorexia nervosa
bulimia
morbid obesity

ENDOCRINE DISORDERS

diabetes

**INFECTIOUS and
PARASITIC DISEASES**

necrotizing fasciitis
sepsis

INJURIES

amputation(s)
fractures, multiple
head injuries (e.g. coma,
traumatic brain injury)
second/ third-degree burns
spinal cord injuries

**MUSCULOSKELETAL
DISORDERS**

intervertebral disc disorders
kyphosis
scoliosis

**NEUROLOGIC
DISORDERS**

Alzheimer's disease
cerebral palsy
Guillain-Barre syndrome
multiple sclerosis
muscular dystrophy
myasthenia gravis
paralysis - any type
Parkinson's disease

PREGNANCY

congenital (birth)
defects/disorders
high risk pregnancy
hydrocephalus
multiple births
prematurity
spina bifida

RESPIRATORY SYSTEM

chronic obstructive
pulmonary disease
emphysema
primary pulmonary
hypertension
respiratory distress/ failure
tuberculosis

SYSTEMIC DISORDERS

lupus
neoplasms – any type/site
rheumatoid arthritis
scleroderma

TRANSPLANTS - any type

URINARY SYSTEM

glomerulonephritis
renal failure (with or w/o dialysis)